

State data center restrictions won't slow US buildout

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【メール原文】

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The most likely scenario is that most states impose conditional restrictions on data center buildouts (55% odds), followed by a fragmented landscape of permissive and restrictive state approaches (40%), while widespread state and federal moratoria remain unlikely (5%).

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In all but the third scenario, the restrictions imposed on data centers will not hamper the US AI buildout or hinder US competitiveness relative to China.

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To keep pace, data center operators will move projects to more permissive jurisdictions or absorb the increased costs of compliance.

The basecase is that most states are likely to impose conditional restrictions on data centers (55%). Restrictions will include measures such as labor and wage standards, environmental standards, and/or community benefit provisions—for example, improvements to schools, parks, and roads. Few states will introduce new incentives (such as tax breaks), and few will introduce or renew moratoria that temporarily or permanently pause development. Federal restrictions will be non-existent or inconsequential. This scenario will result in modest delays to buildouts, with increased compliance costs and bureaucratic red tape for AI companies.

A key driver of this scenario is public opinion. Strong majorities—between 55% and 75%, depending on the poll—now oppose data center development near them. Significant skepticism will shape the new political operating environment for buildouts, forcing elected officials from both parties into more conditionality-oriented stances. That convergence will likely reduce the issue's political salience after the midterms because neither party will be able to outflank the other. Opposition based on local control and affordability, rather than broader resistance to AI, will gradually become a less salient voting issue if developers make and meet promises on community-benefit provisions and ratepayer protection schemes.

Fragmentation in states' approaches is possible (40% odds). In this scenario, states' approaches diverge, with some incentivizing buildouts, some rolling back restrictions post-midterms, some conditioning buildouts (for example, on environmental, labor, community benefit standards), and some imposing moratoria. To avoid rising compliance costs in states imposing restrictions, data center operators will shift buildouts to more friendly states. This scenario will not significantly slow the data

center buildout but will result in greater geographic concentration. As a result, political shifts in key states will carry greater risk.

Widespread state and federal moratoria or stringent restrictions are unlikely (5% odds). In this scenario, a critical mass of important states, such as Texas and Ohio, impose moratoria for over a year, and Congress enacts stringent restrictions. These actions are highly unlikely. Most elected officials, even given current public opinion, see the benefits of development and do not wish to forego them. Moreover, federal limits—such as those proposed in the legislation presented by Senator Bernie Sanders (I-VT)—are highly unlikely to pass a divided Congress or to receive President Donald Trump’s signature.

This scenario is the only one that would significantly slow AI data center buildouts, hamper US compute competitiveness, or prompt a relocation of other facilities to regions outside of the US with friendlier policies, such as Latin America and Europe.

Data center politics will not hamper US compute competition with China. In all but the 5% tail risk scenario, politics might modestly delay some projects but will not significantly change the trajectory of the data center buildout or hamper US compute competition with China. Only a small share of projects will be delayed by data center restrictions. To date, states imposing restrictions have not significantly affected the data center buildout; in New York state, the moratorium is projected to slow 7% of projects. Only an estimated 5 gigawatts of US projects have been canceled due to increasing restrictions, primarily at the local level.

Similarly, Chinese data center development and underlying compute lags that of the US because China faces an AI chips shortage. Moreover, the US is likely to maintain the ability to lead the diffusion of chip technology abroad. As a result, China is unlikely to outpace the US in data center buildouts in any but the tail risk scenario.

Data center operators will move locations or pay increased compliance costs to keep pace. Data center operators are modestly shifting within regions, and Google, Microsoft, and DC Blox have all relocated projects to friendlier jurisdictions. In all the scenarios outlined by Eurasia Group, this pattern will continue. However, operators will remain constricted by the need to build within certain US regions to maintain access to subsea cable landings, high-density fiber backbone, and data center interconnects. Should an entire region impose harsh restrictions, data center operators will likely either move projects to a different region in the US or absorb the increased costs of compliance. After November’s midterm elections, state legislative agendas for 2027 should provide a clearer indication of which scenario is taking shape.

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